

Monopolistic competition

A stylized handwritten signature in black ink, featuring a large, sweeping 'Z' shape that loops around and ends with a small flourish.

By:-

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Monopolistic competition:- It is a market structure in which there are many firms competing but where each firm has some degree of market power i.e. each firm has some choice over what price to charge for its products.

Relatively large number of firms:- Monopolistic competition doesn't require hundreds or thousands of firms as do pure competition but only a fairly large number. Each firm has a small percentage of market share. A relatively large number of firms ensure that collusion is not possible. With numerous firms in the industry, there is no feeling of mutual interdependence among them, each firm determines its policies without considering rivals' reaction. Rival reaction can be ignored because the impact of one firm's action on each of its many rivals is so small that these rivals will have no reason to react.

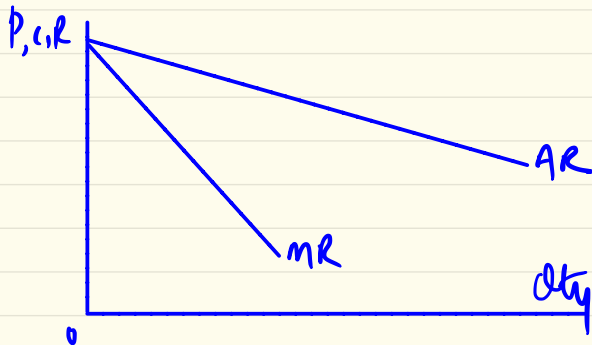
Product differentiation: In contrast to pure competition monopolistic competition has the fundamental feature of product differentiation. Monopolistically competitive producers turn out variations of a particular product. Because of product differentiation, economic rivalry typically takes the form of non-price competition i.e. competition in terms of quality, services to customers, location and accessibility, and advertising. Product differentiation may take the form of physical or qualitative differences in products themselves. Personal computers, for e.g. in terms of hardware, capacity, software, and how user friendly they are. Most cities have a variety of retail stores selling men's and women's clothing varying greatly in styling, material and quality of work.

Services and conditions surrounding the sale of a product are forms of a product

differentiation. The snob appeal of a store, the courteousness and helpfulness of clerks, the firm's reputation for serving or exchanging the products, and credit availability are all services aspects of product differentiation. Pizza restaurants compete on the basis of whether they offer delivery services.

Products may also be differentiated on location and accessibility. Small mini groceries or convenience stores successfully compete with large super markets on the basis of location. Product differentiation may also arise from differences created through advertising, the use of brand names and trade marks, and packaging e.g. a celebrity's name associated with jeans or perfume may enhance those products in the minds of buyers.

The firm's demand curve :- The demand curve faced by monopolistically competitive seller is highly elastic because there are many rivals producing close substitutes.

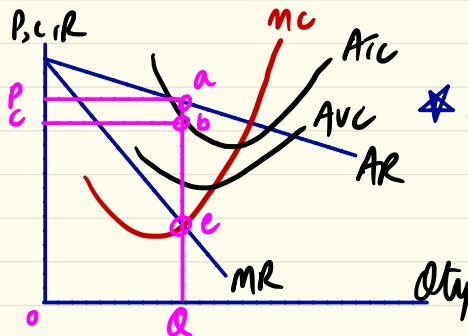


* Revise imperfect competition table to understand why MR is positive

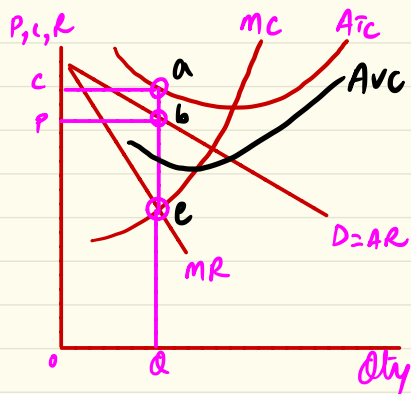
Monopolistic competition

- o Imperfect market structure
- o Lack of information
- o Price discrimination
- o Inefficiency
- o Neither allocative ($MC = \text{price}$)
- o Nor Productive ($ATC = \min$)
- o Product differentiation
- o Non-price competition
- o Competition in terms of :-
 - Quality
 - Service to customers
 - location and accessibility
 - Advertising
 - Snob appeal of a store
 - Firm's reputation
- o Easy entry in the industry
- o Competition
- o Elastic demand
- o Positive Marginal revenue

Shortrun conditions



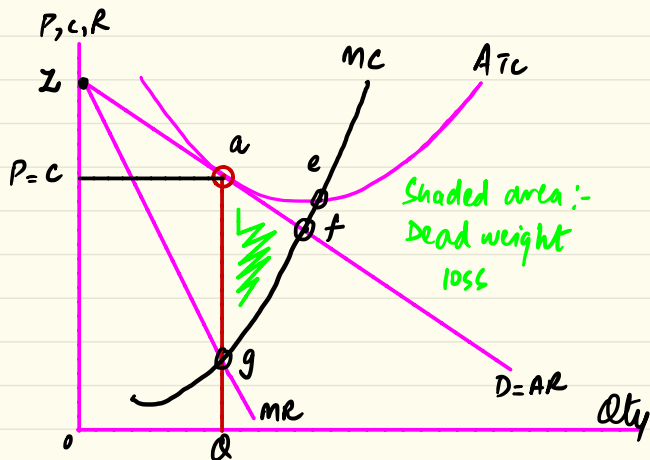
★ Super-normal / Abnormal profits
 $AR > ATC$ and $AR > AVC$



★ Loss / Subnormal profits
 $AR > AVC$

★ Profit maximizing level of output, $MC = MR$.

Longrun condition under Monopolistically competitive market



connect to
efficiency!

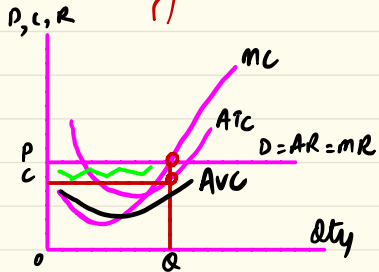
Economic efficiency requires the triple of price, marginal cost and the average cost. When price and marginal cost are equal, allocatively efficient will be achieved - the allocation of right amount of resources to the product. When price equal the minimum of average total costs, productive efficiency

or the use of least cost combination of factors of production will result. Productive efficiency means consumers will enjoy the large volume of the product and the lowest price which least cost conditions allow. In monopolistically competitive markets, excess capacity occurs and neither allocative nor productive efficiency is realized. Furthermore, in contrast to purely competitive firms, monopolistically competitive firms are characterized by excess capacity, meaning that they produce somewhat short of the most efficient output.

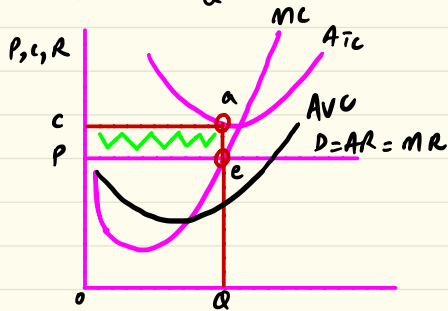
Perfect competition

vs

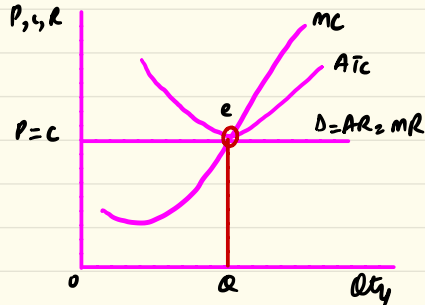
Monopolistically competitive



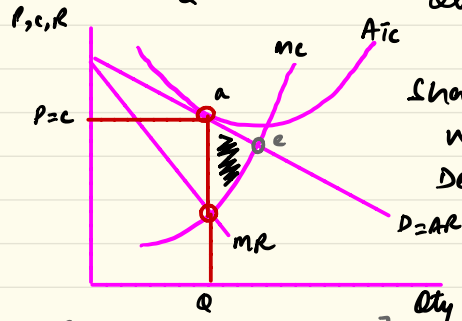
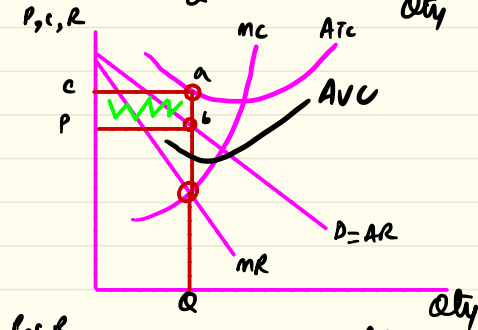
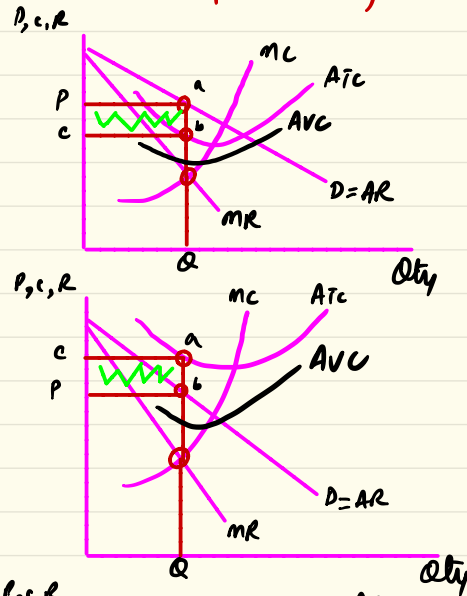
Shortrun:-
Supernormal profits



Shortrun:-
Loss



Longrun:-
Normal profits



Shaded area:-
Welfare loss /
Dead weight loss

[Point 'e' → Allocative]

Questions

Marks :- 24!

Q1 Explain the features of monopolistic competition? 8

Q2 Explain using diagrams, short-run profits and loss condition under monopolistic competition? 8 (Always draw AVC) — small firms

Q3 Explain long-run condition of monopolistic competition and its link with efficiency? 8

→ Define productive and allocative!

→ Explain the diagrams!